Advertising Influence on Consumers: How Celebrity Endorsement, Ad Creativity, Brand Trust, Storytelling, and Price Perception Drive Purchase Intention Among Indian Youth

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Background

- **Young Indian consumers (18–35)** are among the world's most digitally active and brand-conscious groups, driving **40% of India's e-retail market** and spending **1.5× more** on lifestyle products (Bain & Company, 2025).
- With 96% shopping via mobile and 60%+ using social commerce, their buying behaviour is influenced by multiple psychological and social factors — such as celebrity appeal, ad creativity, brand trust, price sensitivity, and social validation (Market-Xcel, 2025; Kothari et al., 2025).
- Research shows that:
  - **Entertaining & emotional ads** improve recall and trust (Haider & Shakib, 2018)
  - **Ad creativity** builds stronger emotional connections (Choudhary, 2021)
  - **Brand trust & loyalty** anchor long-term buying (Agrawal, 1996)
  - **Celebrity endorsement**
  - **Emotional storytelling** triggers impulse buys (Vrtana & Krizanova, 2023)
- However, in India's fast-growing digital market where the influencer culture and FOMO dominate, limited primary research explores how these factors combine to shape youth purchase decisions.

Problem Statement

- Despite contributing over **70% of online spending** and driving nearly **45% of impulse purchases**, young Indian consumers remain **understudied** in terms of advertising psychology.
- Brands invest heavily in celebrity-led and creative campaigns but often lack **insight into how multiple ad factors** like **celebrity appeal, brand trust, storytelling, ad creativity and price perception** — work together to shape real purchase behaviour, leading to **approximately ₹10 lakh crore annual ad inefficiency.** (Kothari et al., 2025)
- This study aims to explore: What is the **relative influence** of celebrity, ad creativity, storytelling, brand trust and price perception on youth purchase intent?
- The goal is to bridge the gap between advertisement strategy and consumer purchase intention to help brands create more authentic, efficient, and emotionally resonant advertising.

Motivation

Business Impact

- Youth aged **18–35** drive **40% of India's e-retail** and spend **1.5× more** on lifestyle goods, contributing to a **$60B GMV** (Bain & Company, 2025).
- With **96% shopping on mobile** and **60% via social commerce**, brands still lose **₹10L Cr annually** due to poor alignment of key ad factors — **price, trust, and storytelling** (Kothari et al., 2025).
- **Creative ads** achieve **2× higher recall** and lower irritation (Choudhary, 2021).
- **Authenticity and credibility** are the **strongest predictors** of purchase (Kothari et al., 2025).
- Insights from this study can help brands:
  - Optimise ad spend and improve ROI.
  - Target consumers more effectively using data-based insights..
  - Build lasting loyalty through trust-driven advertising (Agrawal, 1996).

User & Social Impact

- Nearly 45% of impulse buys are triggered by emotional storytelling and FOMO (Vrtana & Krizanova, 2023).
- This research promotes: **Digital literacy** and awareness among youth.

Together, these insights benefit both marketers seeking efficiency and consumers seeking authenticity.

Stakeholders Benefitting

- **Brands & Marketing Agencies:**
  - Understand which ad factors (celebrity, creativity, story, trust, price) influence youth buying.
  - Create more relatable and effective digital campaigns.
  - Improve ad targeting and return on investment (ROI).
- **E-commerce Platforms (Flipkart, Nykaa, Myntra):**
  - Connect better with young consumers.
  - Use insights to design engaging and trustworthy ads.
  - Increase conversions and brand loyalty.
- **Researchers & Product Managers:**
  - Gain deeper insights into youth consumer purchase intention.
  - Apply findings in product design and marketing decisions.
  - Support further research on digital ad influence and trust.

Literature Review

1. McCracken (1989) – Meaning Transfer Theory

- Celebrities act as cultural carriers, transferring meanings like *status, lifestyle,* and *personality* to brands.
- This process builds *emotional attachment* and *aspirational identification*, making consumers connect deeply with endorsed brands.

2. Agrawal (1996) – Brand Loyalty through Credibility

- Advertising trust and *endorser credibility* significantly influence *brand loyalty* and *purchase intent*.
- Consistent and authentic endorsements foster long-term consumer relationships.

3. Haider & Shakib (2018) – Emotional Advertising & Recall

- Entertaining and emotionally engaging ads increase brand recall, trust, and positive attitudes.
- Emotional appeal is more effective than rational information in influencing youth buying behaviour.

4**. Choudhary (2021) – Creativity & Storytelling in Ads**

- *Creative visuals and narratives* enhance *ad engagement* and *purchase intent*, especially on digital platforms.
- Ad storytelling builds a stronger emotional connection between brand and consumer.

5**. Kothari et al. (2025) – Digital Authenticity & Trust**

- This Indian study highlighted that perceived authenticity and credibility in influencer ads are the strongest predictors of purchase intent, surpassing even celebrity fame—making trust a key moderating factor in digital endorsement.

Research Gap

- Most studies focus on **single factors** such as celebrity endorsement or ad creativity in isolation.
- Limited research examines relative effects of multiple advertising elements — celebrity endorsement, Ad creativity, brand trust, price perception, and storytelling — on youth purchase intention.
- There is a lack of **empirical data** showing how these factors interact in **purchase intention** of young consumers.

Research Statement

This research aims to understand how key advertising factors — celebrity endorsement, ad creativity, brand trust, price perception, and storytelling — collectively influence the purchase decisions of Indian youth (aged 18–35).

Research Objective:

To determine the **relative impact** of celebrity endorsement, ad creativity, brand trust, price perception, and storytelling on purchase intention.

Hypotheses

H1a: Celebrity endorsement has a positive effect on purchase intention among Indian youth and is expected to be a dominant predictor among all advertising factors.

H1b: Ad creativity positively influences purchase intention.

H1c: Brand trust has a positive effect on purchase intention.

H1d: Positive price perception (value for money) has positively impacts purchase intention.

H1e: Storytelling in advertisements positively affects purchase intention.

Methodology

Participant Profile:

- Age: 18–25 and 26-35 years
- Gender: Mixed

Sampling Technique: Convenient Sampling

- **Recruitment:** College WhatsApp groups, Instagram, and LinkedIn networks.
- **Sample Size:** Around **120+ participants**

Method Used:

- **Quantitative, between-subjects survey-experiment** using short video advertisements.
- Each participant was **randomly assigned** to one of the advertising factor category (Celebrity Endorsement, Ad Creativity, Brand Trust, Price Perception, Storytelling) ensuring they were **exposed to only one stimulus.**

Ethical Concerns:

- **Informed Consent:** Participants agreed after reading the purpose, procedure, and rights.
- **Right to Withdraw:** Responses removed if a participant chose to exit.
- **Anonymity:** No personal information was collected; only anonymous IDs were used.
- **Confidentiality:** Data stored securely and used only for research.
- **Minimal Risk:** Study involved no sensitive content or harm.
- **Benefit to Participants:** Gaining insight into how ads influence their own perceptions and decision-making.
- **Unique anonymous codes** let participants request data deletion anytime.

Operational Definitions

Hypothesis	Operational Definition (What We Measured)	Supporting Literature
H1a — Celebrity endorsement has a positive and significant effect on purchase intention.	Perceived credibility of the celebrity — trustworthiness, expertise, attractiveness, believability.	McCracken (1989)
H1b — Ad creativity positively influences purchase intention.	Perceived originality, novelty, uniqueness, and execution quality of the ad.	Choudhury (2021)
H1c — Brand trust positively affects purchase intention (expected dominant predictor).	Perceived reliability, honesty, and confidence in the brand's promises.	Kothari et al. (2025)
H1d — Positive price perception significantly impacts purchase intention.	Perceived fairness, affordability, and value-for-money of the product.	Haider & Shakib (2018)
H1e — Storytelling positively affects purchase intention.	Strength of narrative clarity, relatability, emotional engagement, and story coherence.	Vrtana, L., & Krizanova, A. (2023)

Survey Design

1. **Pilot Study**
   - Ran a small pilot (5-8 participants) to test the full survey flow.

   (screening → consent → random assignment → video → questions)

   - Checked item clarity, survey timing, and whether random assignment worked smoothly.
   - Collected feedback on confusing or repetitive questions.
   - Ensured videos played correctly and timestamps were recorded.

Survey Link: https://urm-survey.vercel.app

2. **How we controlled the biases**
   - Demand Characteristics:
     - Neutral study description.
     - Participants saw only one ad, so they couldn't guess the hypothesis.
   - Random Assignment: Each participant was randomly assigned to one category, reducing selection bias.
   - No Researcher Influence: Fully online + anonymous → no observer expectancy bias.
   - Social Desirability Reduction: Anonymous responses
   - Stimulus Control: Each category had its own videos → no cross-contamination.

Survey Design

- Attention & Quality Checks:
  - Attention Check: Anyone completing the survey in less than 25% of the median time was marked as potentially careless and removed.
  - Watch-Time Check: We recorded watchSeconds for each participant, setting threshold >= 80 % of video length.
  - Removed duplicate participation ID.

3. **Scale Used:** 5-Point Likert Scale used for all questions

   1 = Strongly Disagree → 5 = Strongly Agree

4. **Question Coding:**

(Survey Questions link - https://docs.google.com/spreadsheets/d/1RfNppj84I_PRW5qLesIs2g5NaGj4KIMo/edit?usp=share_link&ouid=105569521462253097323&rtpof=true&sd=true)

- A-Items =. Manipulation Checks (Not used in statistics)
- B-Items = Perception (Independent Variables)
  - Measure how participants perceived the advertising factor (celebrity, storytelling, creativity, brand trust, price).
- C-Items = Impact (Mediator Variable)
  - Measure the immediate effect of the factor (interest, appeal, confidence, brand attitude).
- D-Items = Purchase Intention (Dependent Variables)

How We Organised the Data

Raw Data Link: https://docs.google.com/spreadsheets/d/1T5rqBz_RYCC8sBwHmqAJsga9Ws2IYWsr/edit?usp=share_link&ouid=105569521462253097323&rtpof=true&sd=true

We converted the raw JSON survey responses into a clean, analysis-ready Excel dataset using the following steps:

- **Participant Anonymity-**
  - Each respondent was assigned a random Participant ID (e.g., p_2ca1vhs).
  - No names, emails, or personal identifiers were stored.
  - A separate internal ID list allows deletion requests.
- **Parsed & Structured Data-** From the JSON, we extracted the following columns:

participantId	Anonymous unique code
ageGroup, gender	Basic demographics
assignedAdCode	CE / AC / PP / BT / ST
watchSeconds	Engagement measure
attentionCheck	Passed/Failed attention question
A1–A2	Manipulation check items
B1–B5	Perception (IV)
C1–C3	Impact (mediator)
D1–D4	Purchase intention (DV)

- **Creating Analysis Variables-** For statistical tests, we computed
  - Perception Score (B_total) = mean(B1–B5)
  - Purchase Intention (PI_total) = mean(D1–D4)
  - These summary scores allow- Regression, ANOVA, T-Tests, Scatter plots

Filtered Data Link: https://docs.google.com/spreadsheets/d/1r0G30WjjZRWWPhnuGxjaXl8fZf1SLrpb/edit?usp=share_link&ouid=105569521462253097323&rtpof=true&sd=true

Analysis Method

1. Regression Analysis

For each advertising factor (CE, AC, BT, PP, ST), we checked: **Does perception of the factor (B_total) predict purchase intention (D_total)?**

Rationale:

- Perfect for testing hypotheses like “X has a positive effect on Y.”
- This matches our hypotheses H1a–H1e (cause → effect).

2. Independent Samples t-Test

For each category: **Do participants who viewed this category’s ad score higher on purchase intention compared to those who viewed other ads?**

Rationale:

- Best method for comparing two groups (Category vs Non-Category).
- Tests whether the difference in average purchase intention is statistically significant.
- Helps us understand whether exposure to a specific factor increases PI more than control groups.

Analysis Method

3. ANOVA

We examined whether the five advertisement categories—Celebrity Endorsement (CE), Ad Creativity (AC), Brand Trust (BT), Price Perception (PP), and Storytelling (ST)—differ significantly in their overall purchase intention (PI_total).

Rationale-

- ANOVA is appropriate because it compares more than two independent groups simultaneously, allowing us to test whether at least one category produces a statistically higher (or lower) level of purchase intention than the others.
- This analysis provides a broader, big-picture view of how the five ad strategies perform relative to each other and complements the t-tests by showing overall category differences, helping identify which advertising factor drives the strongest or weakest purchase intention across the sample.

Results and Interpretation

Outputs Link: https://drive.google.com/drive/folders/1t6LpjW7meDgdGhobEctGjByrrZQ0AE1J?usp=share_link

1. Regression Analysis

Category	Slope (β)	R^2	Effect Strength	Interpretation (Short)
Celebrity Endorsement (CE)	0.54	0.34	Moderate–Strong	Higher CE perception increases PI explains 34% variance
Ad Creativity (AC)	0.89	0.38	Strong	Creativity strongly predicts PI explains 38% variance
Price Perception (PP)	0.77	0.50	Strong	Strong predictor explains 50% of PI (high predictive power)
Brand Trust (BT)	0.39	0.31	Moderate	Trust moderately increases PI 31% variance explained
Storytelling (ST)	0.87	0.51	Very Strong	Storytelling highly predicts PI explains 51% variance (highest)

- Highest R^2: Storytelling (0.51) and Price Perception (0.50) → Best predictors of purchase intention.
- Highest Slope: Ad Creativity (0.90) → Biggest increase in PI per perception point.
- All categories show positive, significant effects → supports H1a–H1e.

Results and Interpretation

2. **T-test Analysis**
   Objective: Check whether **any two advertising categories differ significantly** in **Purchase Intention (PI_total)**.

Comparison	t-value	p-value	Significant?	Interpretation
CE vs PP	-2.27	0.028	Yes	PP ads lead to significantly higher PI than CE ads.
CE vs ST	-1.76	0.086	No (marginal)	ST slightly higher than CE, but not significant at 0.05.
AC vs CE	2.73	0.009	Yes	AC produces significantly higher PI than CE.
AC vs PP	0.33	0.74	No	AC ≈ PP; no difference in PI.
AC vs BT	0.96	0.34	No	AC ≈ BT; no difference.
AC vs ST	0.70	0.49	No	AC ≈ ST; no difference.
PP vs ST	0.37	0.71	No	PP ≈ ST; no difference.
BT vs CE	2.16	0.038	Yes	BT significantly higher PI than CE.
BT vs PP	-0.53	0.60	No	BT ≈ PP; no difference.
BT vs ST	-0.06	0.95	No	BT ≈ ST; no difference.

- CE performs significantly worse than AC, PP, and BT in driving purchase intention.
- The remaining four categories (AC, BT, PP, ST) perform at a similar high level, with no statistically meaningful differences.
- This pattern supports our regression results, where CE also had the lowest slope and R^2.

Results and Interpretation

3. ANOVA

A one-way ANOVA tested whether purchase intention differs across the five ad categories (CE, AC, PP, BT, ST).

$F = 2.11$

$p = 0.086$

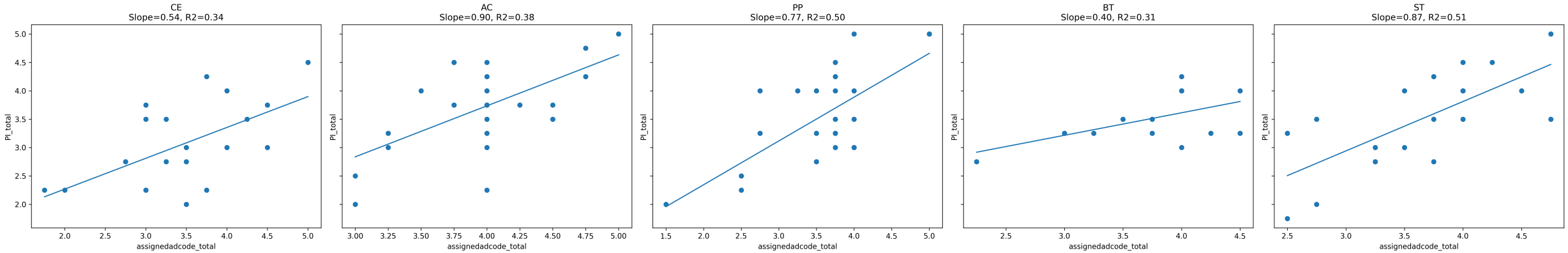
Result is not significant ($p > 0.05$).

The five categories do not differ significantly in overall purchase intention.

Although AC, PP, ST, and BT show higher mean PI than CE, the confidence intervals overlap, and the differences are not strong enough statistically.

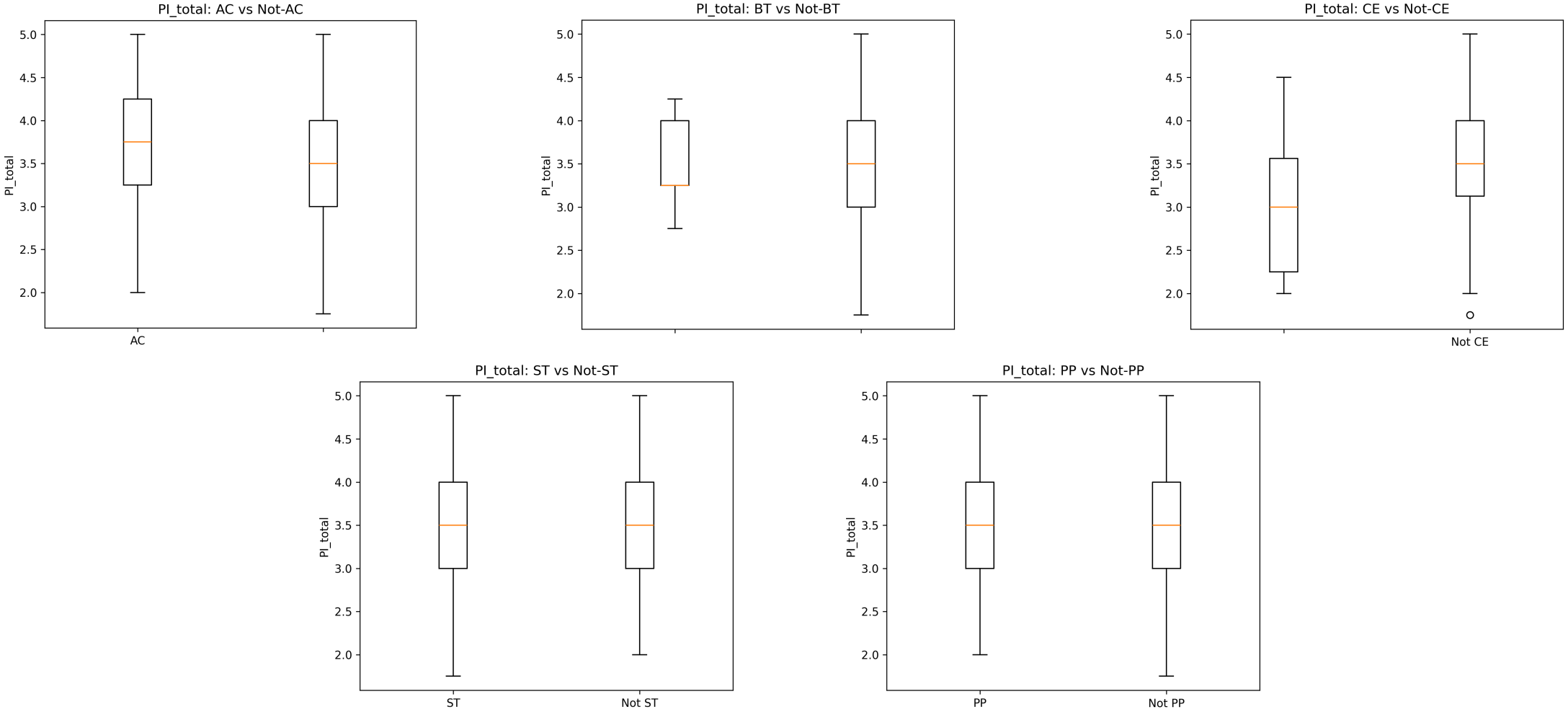
Visualisations

1. **Regression Scatter Plots:** Each plot shows how perception scores (B_total) relate to purchase intention (D_total) within a single category. Helps compare relative slopes (which factor impacts PI the most).



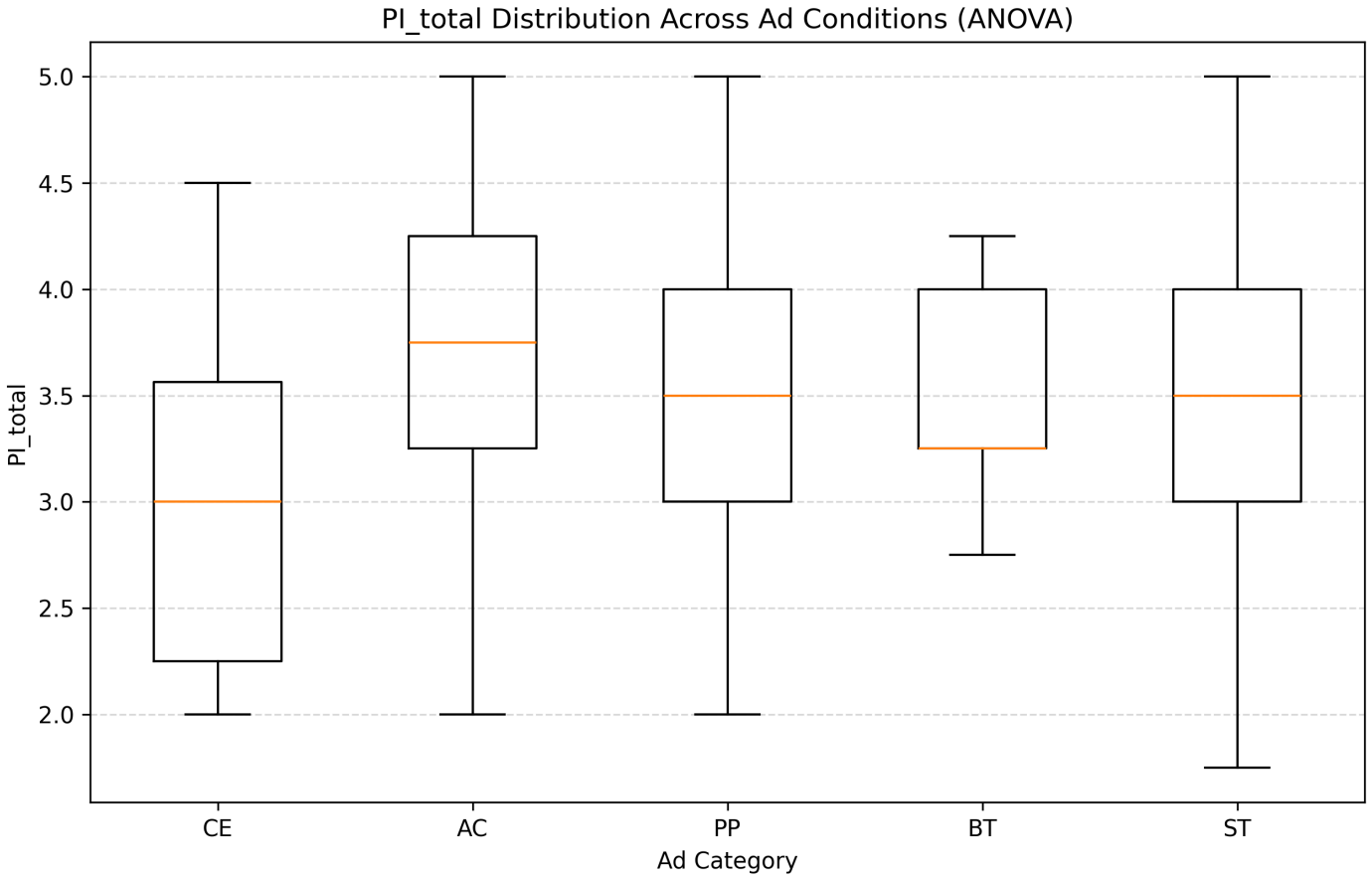
Visualisations

2. Boxplot: Ideal for comparing between 2 ad categories. Shows differences in medians, IQR, and outliers



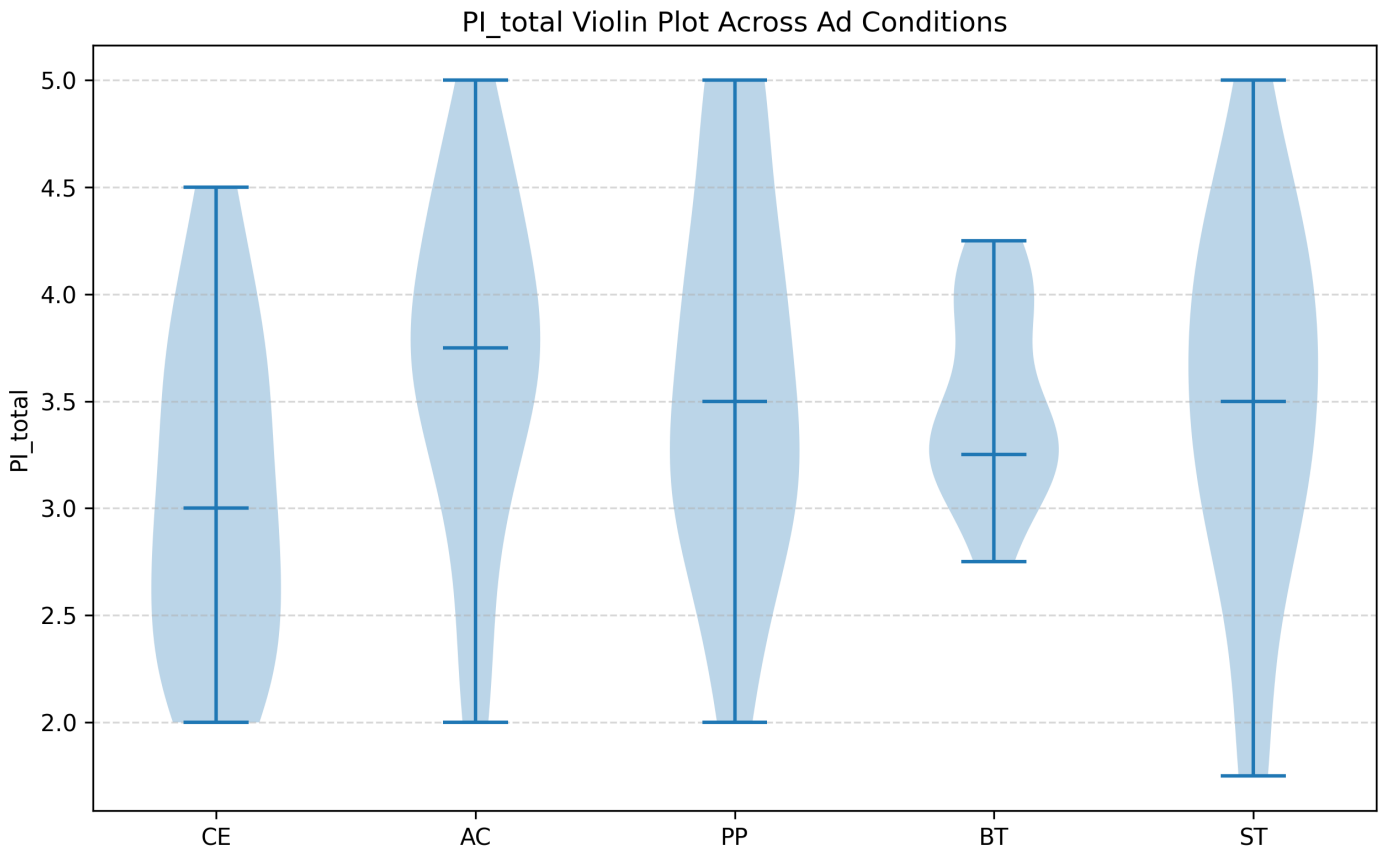
Visualisations

3. **ANOVA Boxplots**: Visualise how Purchase Intention differs across the five advertisement categories and whether any category shows noticeably higher or lower scores.



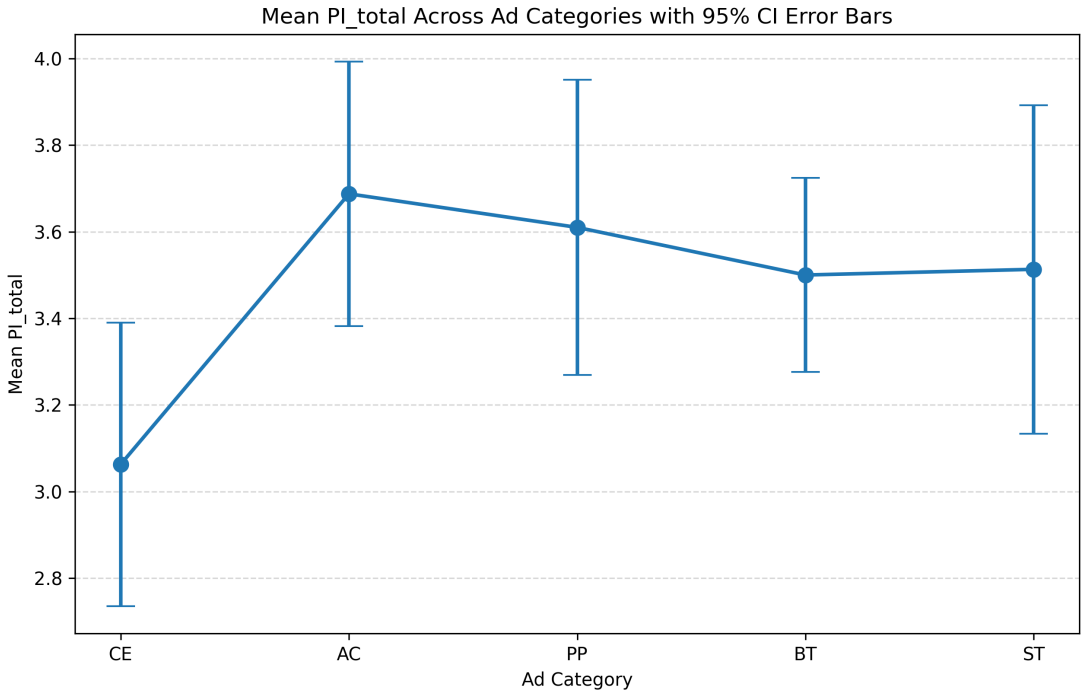
Visualisations

4. **Violin Plot:** Useful for visually checking normality and variability.



Visualisations

5. **Mean Plot With Error Bars:** Category mean PI_total with standard error bars. Highlights average performance clearly. Error bars show confidence and reliability of each category's score.



Final Conclusion

- Storytelling (ST) and Price Perception (PP) are the strongest drivers of purchase intention
- Brand Trust (BT) shows significant yet weakest predictive power among other predictive factors
- ANOVA shows meaningful group trends but is not statistically significant

Marketing Interpretation:

- Ad formats focusing on storytelling and price cues create the strongest purchase intention.
- Brand Trust has a relatively smaller impact compared to factors such as Storytelling, Price Perception, and Ad Creativity.
- Celebrity Endorsement and Creativity perform similarly overall, with minor differences.

Brands should prioritise:

- Emotional storytelling
- Clear price/value communication
- Creative, memorable ad execution

Limitations

- **Small & Youth-Skewed Sample:** The sample size within each ad category (18–25 participants) limits statistical power. Most respondents were 18–25 years old, which may not represent the target user base of 18-35 years.
- **Between-Subjects Bias:** Each participant saw only one ad, so personal differences (mood, attention, familiarity) could influence results.
- **Self-Reported Measures:** Purchase intention is measured through self-report, not actual behaviour. Respondents may answer based on perceived expectations or social desirability.
- **Overlapping Ad Features:** Real ads contained multiple cues (story + creativity + trust), making it hard to isolate each factor. Video length were also varying a bit which may induce bias.
- **Limited Ad Stimuli:** Only one ad per category was used. Results may reflect the specific video chosen rather than the full category (e.g., all “storytelling” ads).
- **ANOVA Not Significant:** Although regression and t-tests showed strong relationships, the overall ANOVA was not significant, partially due to small group sizes and variance overlap.
- **No Formal Mediation Testing:** The study collected C-items for potential mediation (Impact variables) but did not perform a full mediation or SEM analysis due to sample size.
- **Lack of Controlled Stimuli:** Using real ads introduced uncontrolled biases, custom-designed ads could remove this issue.
- **Only Videos Used:** Other formats (images/text ads) were not tested.
- **Limited Demographic Information** Because only age and gender were collected, key factors such as socio-economic background, prior brand experience, and regional/lifestyle differences remain unknown. This introduces hidden sampling biases and reduces the generalizability of the findings beyond the specific participant group.

Scope of the Study

- **Focus on Young Indian Consumers:** The study focuses on how Indian youth (18–35) respond to different advertising formats. Offers insights for brands targeting Gen-Z / young adults.
- **Comparison of Five Key Advertising Strategies:** Evaluates Celebrity Endorsement, Storytelling, Ad Creativity, Brand Trust, and Price Perception. Provides category-wise evidence of what drives purchase intention.
- **Measures Psychological Drivers of Purchase Intention:** Uses validated Likert scales to measure: Perception (B-items), Impact (C-items), Purchase Intention (D-items)
- **Quantitative and Attitudinal Focus:** The study focuses on attitudes and perceived effectiveness, not sales outcomes. Ideal for academic, marketing, and consumer-behaviour insights.
- **Useful for Advertising Strategy Decisions:** Results help brands understand which ad components (storytelling, price cues, creativity) are most effective for improving purchase intention.

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Thank You !